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COURSE INTRODUCTION

Macroeconomics analyses and establishes functional relationships among economy level aggregates. Aggregative analysis has assumed such a great significance in recent times that a prior understanding of macroeconomic theoretical structure is considered essential for proper comprehension of various issues and policies. Macroeconomics now is not only a scientific method of analysis but also a body of empirical economic knowledge.

After going through this course a student is expected to

- have an intuitive understanding of the theoretical developments in macroeconomics;
- contrast among various schools of macroeconomic thought;
- analyse real world issues with the help of macroeconomic theories; and
- apply macroeconomic theory to empirical data.

The course comprises seven blocks.

Block 1, entitled **Traditional Approaches to Macroeconomics**, is somewhat introductory in nature. After explaining some basic concepts that are used frequently in macroeconomics and form building blocks of the subject, it presents the classical and Keynesian views on determination of output and employment in an economy. Subsequently, it presents a synthesis of the classical and Keynesian ideas through the tools of IS-LM curves. The block also deals with issues pertaining to open economy macroeconomics.

Block 2, entitled **Expectations and Macroeconomics**, deals with issues such as inflation and unemployment. It traces the evolution of Phillips Curve – how it originated as a relationship between real and monetary variables; how it occupied a prime place as an analytical tool in Keynesian economics; and how it became irrelevant in the new-classical economics. In the course of discussion, this block deals with two important concepts, viz., adaptive expectations and rational expectations.

Block 3, entitled **Intertemporal Decision-making**, analyses the behavior of economic agents such as households and firms in an inter-temporal framework. It discusses the Ramsey-Cass-Koopmans model and overlapping-generations model. It also looks into issues such as the choice between work and leisure on the part of households.

Block 4, entitled **Theories of Business Cycles**, is devoted to the analysis of economic fluctuations in an economy, particularly the business cycles. It begins with traditional theories of business cycles and later moves on to real business cycles models with inter-temporal substitution and the propagation mechanism.

Block 5, entitled **Labour Markets**, discusses issues related to unemployment in the economy. Apart from presenting nominal and real rigidities, the block throws lights on search theories and unemployment.

The subject matter of **Block 6** is **Issues in Monetary Policy**. It deals with issues such as money supply, conduct of monetary policy, and theory of monetary policy. In recent years

inflation targeting, policy rules, and dynamic consistency have been important concerns of policy makers.

Block 7, entitled **Fiscal Policy and Macroeconomics**, looks into the implications fiscal policy in an economy. Debt sustainability and Ricardian equivalence are two important issues discussed in this Block.

